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2. What coverage do you need?

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If you lose that income or become ill, will minimum payments on your credit cards be of benefit to you, or do you have other funds that will suit the purpose?

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3. What coverage do you already have?

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There is no point in duplicating your insurance coverage if you already have a critical illness policy in place.

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4. In the case of job loss insurance, what are the exact terms?

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You may be surprised at the restrictions of this initially appealing option.

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5. Is it cost-effective?

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As a case study, let's examine life insurance. On a \$10,000 credit card balance, at \$0.80 per \$100 of outstanding balance, your monthly charge would be approximately \$80/month. For about \$80/month, a 35-year-old nonsmoking female in good health can purchase upward of \$3,000,000 of term life insurance.

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6. Can you cancel the policy, and under what terms?

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If you do decide to take it, make sure you keep all your documentation together so canceling it when the time comes is easy.

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7. Are you insurable?

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Many balance protection policies don't require any evidence of insurability to qualify. If you have medical issues that make you a higher risk such that individual policies would either be cost-prohibitive or unavailable to you, then maybe this is just the protection you need.

On the flip side, one type of credit card insurance that you may not realize you might automatically have is travel insurance. Many credit cards feature automatic flight and travel coverage if you pay for a trip using that card. In fact, before you go out and purchase travel insurance, it bears calling your credit card company to find out the specific terms of their coverage. You may find that you can save a few extra bucks by not having to go out and get extra travel coverage!

As with all insurance policies, take a good hard look at what you need, what you can afford, and whether the